

Glindex

A

Accelerated depreciation method. A depreciation method that writes off a relatively larger amount of the asset's cost nearer the start of its useful life than does the straight-line method, 404, 427

Account format. A balance-sheet format that lists assets on the left and liabilities and shareholders' equity on the right, 227, 238

Accounting equation. The most basic relationship in accounting: Assets = Liabilities + Equity, or Assets – Liabilities = Equity. Also Revenue – Expenses = Profit (Loss), 31
overview, 12–13
transactions, 73–74

Accounting policies. Specific principles, bases, conventions, rules and practices applied by an entity in preparing and presenting financial statements, 233, 238

Accounting records, 263

Accounting. The information system that measures business activities, processes that information into reports and financial statements, and communicates the results to decision makers, 31. *See also* Accrual accounting
accounting standards, 6–8
business decisions, 3
cash-basis, 132–133, 164
corporation, 5–6
ethics and, 24–27
financial, 4, 32
management, 4, 32
partnership, 5
proprietorship, 5

Accounts Payable account, 62, 505

Accounts payable turnover. Ratio of cost of goods sold to average payables. Indicates how quickly trade creditors are paid. Can also be expressed in days (payables outstanding period), 717, 736

Accounts Receivable account, 61. *See also* Receivables

Accounts receivable turnover ratio, 716–717

Account. The record of the changes that have occurred in a particular asset, liability, or shareholders' equity during a period. The basic summary device of accounting, 60
analyzing, 83–84
correcting accounting errors, 84–85
formats, 86
impact of transactions on, 63–67

Accrual accounting. Accounting that records the impact of a business event as it occurs, regardless of whether the transaction affected cash, 132, 164
account adjustments, 141–154
accrued expenses, 147–148
accrued revenues, 148–149

adjusted trial balance, 154, 164
cash-basis accounting versus, 132–133
closing the books, 156–157
deferrals, 142–143
depreciation, 143, 149–152
ethics, 137
expense recognition principle, 136
financial statements, 220
matching concept, 136–137
PPE, 149–152
prepaid expenses, 143–145
preparing updated financial statements, 154–156
revenue recognition principle, 134–135
time-period concept, 133
unearned revenues, 145–146

Accrual. An expense or a revenue that occurs before the business pays or receives cash. An accrual is the opposite of a deferral, 143, 164

Accrual basis. Business transactions and other events are recognized when they occur and not when cash is received or paid, 11, 31

Accrued expense. An expense incurred but not yet paid in cash, 147–148, 164, 543

Accrued liability. A liability for an expense that has not yet been paid by the company, 62, 93, 505–506, 543

Accrued revenue. A revenue that has been earned but not yet received in cash, 148–149, 164

Accumulated depreciation account, 150–151

Accumulated depreciation. The cumulative sum of all depreciation expense from the date of acquiring a PPE, 151, 164, 222, 400, 427

Accumulated losses, 586, 599

ACFE (Association for Certified Fraud Examiners), 257

Acid-test ratio. Ratio of the sum of cash plus short-term investments plus net current receivables to total current liabilities. Tells whether the entity can pay all its current liabilities if they come due immediately. Also called the *quick ratio*, 720, 736

Adequate records, 263

Adjusted trial balance. A list of all the ledger accounts with their adjusted balances, 154, 164

Adjusting process (account entries), 141–154
accruals, 143
accrued expenses, 147–148
accrued revenues, 148–149
adjusted trial balance, 154, 164
deferrals, 142–143
depreciation, 143, 149–152
PPE, 149–152
prepaid expenses, 143–145

purposes of, 152–154
unearned revenues, 145–146

Adverse opinion. An auditor's opinion that the financial statements, as a whole, do not fairly represent the financial position and performance of the audited entity, 219, 238

Aggregation, 220–222

Aging-of-receivables method, 284

Allowance method (receivables), 283–288

Amortization. The systematic reduction of a lumpsum amount. Expense that applies to intangible assets in the same way depreciation applies to PPE and depletion applies to natural resources, 392, 395, 418, 427, 640
bond discount, 522
straight-line amortization method, 529

Analysis of financial statement. *See* Financial statement analysis

Annual reports. Reports prepared by entities for their shareholders, potential investors, and stakeholders, 209, 238
analysis, 214–215
commentaries, 214–215
corporate governance, 215
corporate information, 213
obtaining, 211–212
statements and disclosures, 215
substance over style, 209–210
typical structure, 212

Asset. A resource controlled by an entity as a result of past events and from which future economic benefits are expected to flow to the entity, 31. *See also* PPE
Accounts receivable account, 61
carrying amount, 151
cash, 61
current, 19, 31, 226–227, 238
defined, 11
effect of equity transactions on, 590
financial, 451, 454, 483
fixed, 391
fully depreciated, 414
intangible, 418–422, 427
inventory, 61
leases, 534
limiting access to, 263–264
misappropriation of, 257
non-current, 19–20, 226–227, 391–393, 422–424
non-monetary, 392
Notes receivable account, 61
Statement of Financial Position, 19–20
tangible, 391
transactions, 61

Asset turnover. A measure of efficiency on the use of assets to generate sales, 423–424, 427, 719, 736

Association for Certified Fraud Examiners (ACFE), 257

Audit. A periodic examination of a company's financial statements and the accounting systems, controls, and records

that produce them. Audits may be either external or internal. External audits are usually performed by certified public accountants (CPAs), 263, 297

Auditors

- external, 263
- internal, 263
- opinions, 219

Auditor's report. A report from the external auditor expressing an opinion on the financial statement, after conducting an audit in accordance with applicable auditing standards, 216–219, 238

Authorized share. Maximum number of shares a corporation can issue under its constitution, 582, 599

Available-for-sale investments. All other financial asset investments not classified as loan and receivables, held-to-maturity or trading securities, 455, 460–462, 483

Average cost method. Inventory costing method based on the average cost of inventory during the period. Average cost is determined by dividing the cost of goods available by the number of units available. Also called the *weighted-average method*, 340–342, 357

B

Bad-debt expense, 282

Balance sheet. List of an entity's assets, liabilities, and owners' equity at a specific date. Also called the *statement of financial position*, 12

- assets, 19–20
- consolidated, 467–468
- information provided on, 12
- liabilities, 20
- overview, 18
- reporting cash on, 278
- reporting investments on, 452–453
- reporting liabilities on, 513–514
- shareholders' equity, 20–21

Bankcard sales, improving cash flow with, 292–293

Bank collection. Collection of money by the bank on behalf of a depositor, 273, 297

Bank reconciliation. A document explaining the reasons for the difference between a depositor's records and the bank's records about the depositor's cash, 269–275, 297

- bank side, 273
- bank statement, 271
- book side, 273
- cash records, 273
- checks, 270
- controlling cash with, 277
- deposit tickets, 270
- electronic funds transfer, 272
- journalizing transactions from, 275
- overview, 269–270
- signature card, 270

Bank statement. Document showing the beginning and ending balances of a particular bank account listing the month's transactions that affected the account, 271, 297

Bar codes, 264

Basic inventory principle, 333

Basket purchase of assets, 396

BELA (Business Ethics Leadership Alliance), 25

Benchmarking. The comparison of an entity to another entity (competitor or peer) or against industry averages, with the objective of providing context to the evaluation of the entity, 711–713, 736

Board of directors. Shareholder representatives elected to oversee the company and its management team, 214, 238, 570, 571, 572, 599

Bonds, 516–530

- callable, 529–530, 543

- convertible, 530, 543

- debentures, 516

- discount, 516, 520–521, 522–525, 543

- interest expense, 521–529

- issuing at par value, 519–520

- issuing bonds at premium, 525–528

- issuing bonds payable at discount, 520–521

- market interest rate, 518–519

- maturity date, 290, 517

- maturity value, 290

- partial-period interest amounts, 528

- premium, 516

- present value of future amount, 517

- prices, 516

- serial, 543

- serial bonds, 516

- stated interest rate, 518

- straight-line amortization method, 529

- term, 543

- term bonds, 516

- time value of money, 517–518

- underwriter, 516

Bonds payable. Groups of notes payable issued to multiple lenders called bondholders, 516, 543

Bonuses, 507

Bookkeeping, 3

Book value (of shares). Amount of owners' equity on the company's books for each share, 579, 591–592, 599

Book value per ordinary share. Ordinary shareholders' equity divided by the number of ordinary shares outstanding. The recorded amount for each ordinary share outstanding, 727, 736

Borrowers, 290, 298

Brand names, 420, 428

Budget. A quantitative expression of a plan that helps managers coordinate the entity's activities, 260

- cash, 263, 277–278, 298
- operating, 263

Buildings, cost of, 395

Business Ethics Leadership Alliance (BELA), 25

Business organizations. *See* Corporation; Partnership; Proprietorship

C

Callable bond. Bonds that are paid off early at a specified price at the option of the issuer, 529–530, 543

Capital charge. The amount that shareholders and lenders charge a company for the use of their money. Calculated as beginning balances of (Notes payable 1 Loans payable 1 Longterm debt 1 Shareholders' equity) 3 Cost of capital, 729, 736

Capital expenditure. Expenditure that increases an asset's capacity or efficiency or extends its useful life. Capital expenditures are debited to an asset account, 397, 427

Capital lease. Lease agreement in which the lessee assumes, in substance, the risks and rewards of asset ownership, 532–533, 543

Carrying amount (of PPE). The asset's cost minus accumulated depreciation, 151, 164

Cash-basis accounting. Accounting that records only transactions in which cash is received or paid, 132–133, 164

Cash budget. A budget that projects the entity's future cash receipts and cash disbursements, 263, 277–278, 298

Cash conversion cycle. The length of time it takes a company to convert cash from its inventory purchases and receivables. Calculated as inventory resident period plus receivable collection period less payable outstanding period, 717–718, 736

Cash equivalent. Highly liquid short-term investments that can be converted into cash immediately, 278, 298, 633, 667

Cash flows. Cash receipts and cash payments (disbursements), 633, 667. *See also* Statement of cash flows

- accrual accounting and, 133

- cash flow patterns, 660–661

- cash realization ratio, 659–660

- evaluating company's ability to generate, 657–661

- financing activities, 636, 644–646

- free cash flow, 659

- improving, 292–293

- investing activities, 636, 642–644

- noncash investing, 648

- operating activities, 635–636, 637–642, 651–656

- signs of financial difficulty and, 634–635

Cash from operations (CFO), 728

Cash. Money or any medium of exchange that a bank accepts at face value, 19, 31, 61

Cash payments, 267–269

Cash realization ratio. An entity's ability to generate cash from net or operating profit. Calculated as cash flows from operations divided by net profit, 659–660, 667

Cash receipts
internal controls over, 266–267
by mail, 267

CFO (cash from operations), 728

CFO (chief financial officer), 571, 572

Chairman of the Board. Head of a board of directors, 214, 238

Chairperson. Elected by a corporation's board of directors, usually the most influential person in the corporation. Usually referred to as Chairman, 571, 599

Chart of accounts. List of a company's accounts and their account numbers, 85, 93

Check. Document instructing a bank to pay the designated person or business the specified amount of money, 298
as internal control, 268–269
remittance advice, 270

Checkpoint Systems, 264

Chief financial officer (CFO), 571, 572

Chief operating officer (COO), 571, 572

Closing entries. Entries that transfer the income, expense, and dividends balances from these respective accounts to the Retained Earnings account, 156, 164

Closing the books. The process of preparing the accounts to begin recording the next period's transactions. Closing the accounts consists of journalizing and posting the closing entries to set the balances of the revenue, expense, and dividends accounts to zero. Also called *closing the accounts*, 164
closing entries, 156
permanent accounts, 156–157
temporary accounts, 156

Code of Ethics for Professional Accountants, 26, 27

COGS (cost of goods sold) model. Formula that brings together all the inventory data for the entire accounting period: Beginning inventory + Purchases = Goods available. Then, Goods available – Ending inventory = Cost of goods sold, 341–342, 358

Collateral, 281

Collections
computing cash flows from, 643–644
receivable collection period, 294, 716, 717, 736

Commissions, 507

Common-size financial statements. A financial statement that reports only percentages (no dollar amounts), 711–713, 736

Common stock. *See* Ordinary shares

Comparability. A business must use the same accounting methods and procedures from period to period. Comparability is

an enhancing qualitative characteristic of financial statements, 345, 358

Comparative information. Corresponding figures from previous financial period(s) that must be displayed on the same presentation basis as the current year's financial period, 223, 238

Comparisons, internal controls and, 263

Compliance monitoring, 263

Component analysis, 710–711

Computer virus. A malicious program that enters a company's computer system by e-mail or other means and destroys program and data files, 265, 298

Conceptual Framework. The basic objective, principles and assumptions guiding the presentation and preparation of general purpose financial statements, 31
liabilities, 505
matching concept, 136
objective of financial reporting, 219
overview, 8–13

Consignment. An inventory arrangement where the seller sells inventory that belongs to another party. The seller does not include consigned merchandise on hand in its balance sheet, because the seller does not own this inventory, 332, 356

Consolidated statements. Financial statements of the parent company plus those of majority-owned subsidiaries as if the combination were a single legal entity, 466–471, 483
balance sheet, 467–468
goodwill, 469
income of consolidated entity, 470
non-controlling interest, 469–470
overview, 466–467

Consolidation accounting, 466

Contingent liabilities, 512–513

Continuous lives (corporations), 570

Contra account. An account that always has a companion account and whose normal balance is opposite that of the companion account, 151, 164

Contributed capital. The amount of shareholders' equity that shareholders have contributed to the corporation. Also called *paid-in capital or share capital*, 20, 32, 572, 599, 600

Control accounts, 280

Controller. The chief accounting officer of a business, 263, 298

Controlling interest. Ownership of more than 50% of an investee company's voting shares, 466, 483

Convertible bonds. Bonds or notes that may be converted into the issuing company's share capital at the investor's option, 530, 543

COO (chief operating officer), 571, 572

Cooking the books, 137, 257. *See also* Fraud

capitalizing expenses, 398–399
debt, 471–472
depreciation, 411–412
inventory, 348–349

investments, 471–472

liabilities, 514

Copyright. Exclusive right to reproduce and sell a book, musical composition, film, other work of art, or computer program. Issued by the government, copyrights may extend many years beyond the author's life, 420, 427

Corporate governance. The broad guidelines regulating how a company should be governed and managed, to ensure accountability to shareholders, 215, 238

Corporate information (annual reports), 213

Corporation. A business owned by shareholders. A corporation is a legal entity, an "artificial person" in the eye of the law, 5–6, 31

authorized shares, 582, 599
continuous lives, 570
equity transactions, 586–590
government regulation, 571
issued shares, 582
limited liability, 570
ordinary shares, 577–579
organizing, 571–575
outstanding shares, 582
preference shares, 580–581
separate legal entity, 570
separation of ownership and management, 570
taxation, 571
transferability of ownership, 570
treasury shares, 583–585
value of shares, 591–593

Cost formulas. Cost assumptions when goods are ordinarily interchangeable. Also called *inventory costing method*, 338, 358. *See also* Inventory costing methods

Cost model (PPE), 413

Cost of capital. A weighted average of the returns demanded by the company's shareholders and lenders, 728, 736

Cost of goods sold (COGS) model. Formula that brings together all the inventory data for the entire accounting period: Beginning inventory + Purchases = Goods available. Then, Goods available – Ending inventory = Cost of goods sold, 341–342, 358

Cost of goods sold. Cost of the inventory the business has sold to customers. Also known as *cost of sales*, 330, 358

Cost of inventory, 333, 334

Cost of sales, 358

Cost per unit of inventory, 333

Coupon rate, 518

Credit-balance accounts, 86. *See also* Liability

Creditors (lenders), 290

Credit. The right side of an account, 73, 93
credit department, 264
improving cash flow with credit card sales, 292–293

selling on credit, 282
 stolen credit card numbers, 265

Cumulative preference share. Preference share whose owners must receive all dividends in arrears before the corporation can pay dividends to the ordinary shareholders, 588, 599

Current asset. An asset that is expected to be converted to cash, sold, or consumed during the next 12 months, 19, 31, 238. *See also* Receivables
 liquidity and, 226–227
 resulting from operating activities, 640–641

Current liability. An asset that is expected to be converted to cash, sold, or consumed during the next 12 months, 20, 31, 238
 liquidity and, 226–227
 resulting from operating activities, 640–641

Current portion of long-term debt. The amount of the principal that is payable within one year, 512, 543

Current ratio. Current assets divided by current liabilities. Measures a company's ability to pay current liabilities with current assets, 234–235, 298, 719–720, 736

Customers, computing cash collections from, 653

D

Days sales in receivables, 294, 716, 717
 Days sales outstanding, 294, 716, 717
 DDB (double-declining-balance) method, 404, 427

Debentures. Unsecured bonds—bonds backed only by the good faith of the borrower, 516, 543

Debit-balance accounts, 86. *See also* Asset

Debit memorandum. A document issued to the seller (vendor) when an item of inventory that is unwanted or damaged is returned. This document authorizes a reduction (debit) to accounts payable for the amount of the goods returned, 336, 358

Debit. The left side of an account, 73, 93

Debt
 computing issuances and payments of long-term debt, 644–645
 cooking the books, 471–472
 as liability, 512

Debtors. The party that borrowed and owes money on the note; also called *the maker of the note or the borrower*, 290, 298. *See also* Receivables

Debt ratio. A measure of indebtedness or leverage. Measured by total liabilities divided by total assets, 534–535, 536–537, 543, 721, 736

Debt-to-equity. A measure of indebtedness; the amount of liabilities (or interest-bearing liabilities) as a proportion of total equity, 721, 736

Decision guidelines/cases
 accrual accounting, 189–191
 cash flows, 658, 662, 698–699
 ethics, 26
 financial statement analysis, 730–731, 762–763
 financial statements, 24, 50–51
 financing with debt or shares, 536
 internal controls, cash, and receivables, 323–325
 inventory, 352, 380–381
 investments, 472, 500–501
 liabilities, 564–565
 PPE and intangible assets, 446–447
 PPE and related expenses, 424
 presentation of financial statements, 250–251
 receivables, 282
 shareholder equity, 595, 626–627
 transactions, 88, 113–114

Deferral. An adjustment for which the business paid or received cash in advance. Examples include prepaid rent, prepaid insurance, and supplies, 142–143, 164

Deferred income, 145–146, 506–507

Deficit. Retained Earnings account with a debit balance. Also called *accumulated losses*, 586, 599

Deloitte Forensic Center, 137

Depletion expense. That portion of a natural resource's cost that is used up in a particular period. Depletion expense is computed in the same way as units-of-production depreciation, 417, 427, 640

Depository bank accounts, 267

Deposits in transit, 273, 298

Deposits. Sometimes required by businesses before providing goods or services. May be deposits placed (as a customer) or deposits received (as a business), 506, 543

Deposit tickets, 270

Depreciable cost. The cost of a PPE minus its estimated residual value, 401, 427

Depreciation. The cost of a PPE minus its estimated residual value, 143, 399, 640
 accumulated depreciation, 151, 164, 222, 400, 427
 adjusting process and, 143
 allocating, 400–401
 choosing method, 406
 comparing methods, 405
 double-declining-balance, 404
 estimated residual value, 401, 410–411
 estimated useful life, 401, 410–411
 for partial years, 410
 PPE, 149–152, 399–406, 408–412
 straight-line method, 402, 428
 for tax purposes, 408–409
 units-of-production method, 403

Directly attributable costs. Costs that are necessary in bringing the asset to the location and condition necessary, 394, 427

Direct method. Format of the operating activities section of the statement of

cash flows; lists the major categories of operating cash receipts (collections from customers and receipts of interest and dividends) and cash disbursements (payments to suppliers, to employees, for interest and income taxes), 638, 651–656, 667

Direct write-off method. A method of accounting for bad debts, 288–289, 298

Discount (on a bond). Excess of a bond's face (par) value over its issue price, 516, 520–521, 522–525, 543

Dividends account, 62, 156

Dividends. Distribution of assets (usually cash) by a corporation to its shareholders, 586–589
 computing declarations and payments, 645–646
defined, 599, 600
 reporting on statement of cash flows, 593

Dividend yield. Ratio of dividends per share to the share's market price. Tells the percentage of a share's market value that the company returns to shareholders as dividends, 726–727, 736

Double-declining-balance (DDB) method, 404, 427

Double-entry system. A system of recording business transactions where every financial transaction has equal amounts of debits and credits recorded in at least two accounts, 3, 31, 72

Doubtful-account expense. Another name for uncollectible-account expense, 282, 298

DuPont Analysis. A method of examining components of Return on Equity (ROE): net profit margin x asset turnover x equity multiplier, 595, 599, 725

E

Earnings before interest and tax (EBIT), 723

Earnings per share (EPS). Amount of a company's net income per share of its outstanding share capital, 543, 599, 736
 financial statement analysis, 725–726
 financing operations and, 535
 shareholder equity, 593–594

EBIT (earnings before interest and tax), 723

E-commerce, 265

Economic phenomena. Information about the reporting entity's economic resources, claims against the reporting entity, and the effects of transactions and other events and conditions that change those resources and claims, 10, 32

Economic value added (EVA). Used to evaluate a company's operating performance. EVA combines the concepts of accounting income and corporate finance to measure whether

the company's operations have increased shareholder wealth. EVA 5 Net income 1 Interest expense – Capital charge, 728–729, 736

Effective interest rate (market interest rate), 518–519

Efficiency ratios, 716–719

- accounts payable turnover, 717, 736
- accounts receivable turnover, 716–717
- asset turnover ratio, 719
- cash conversion cycle, 717–718
- inventory turnover, 716
- receivable collection period, 717

Electronic funds transfer (EFT). System that transfers cash by electronic communication rather than by paper documents, 272, 298

Electronic sensor, 264

Employees

- computing payments to, 655
- employee compensation, 507–508

Ending inventory, effect of inventory methods on, 341–342

EPS (earnings per share). Amount of a company's net income per share of its outstanding share capital, 534, 599, 736

financial statement analysis, 725–726

financing operations and, 535

shareholder equity, 593–594

Equipment, cost of, 395

Equity-method. The method used to account for investments in which the investor has 20–50% of the investee's voting shares and can significantly influence the decisions of the investee, 463–466, 483

Equity. The residual interest in the assets of an entity after deducting all its liabilities. Also called *owners' or shareholders' equity or net assets*, 11, 32. *See also* Shareholders' equity

- dividends account, 62
- expenses, 63
- income account, 62
- retained earnings account, 62
- share capital account, 62

Equity transactions

- dividends, 586–589
- effect on assets, liabilities, and shareholder equity, 590
- reporting, 592–593
- retained earnings, 586
- stock splits, 589–590

Estimated residual value. Expected cash value of an asset at the end of its useful life. Also called *residual value, scrap value, or salvage value*, 401, 410–411, 427

Estimated useful life. Length of service that a business expects to get from an asset. May be expressed in years, units of output, miles, or other measures, 401, 410–411, 427

Ethical issues

- accrual accounting, 191–192
- cash flows, 699
- financial statement analysis, 764

- financial statements, 24–27, 51
- inventory, 381
- investments, 501
- liabilities, 566
- PPE and intangible assets, 447
- presentation of financial statements, 251–252
- shareholder equity, 628–630
- shares issued for assets other than cash, 579–580
- transactions, 114

Ethics. Standards of right and wrong that transcend economic and legal boundaries. Ethical standards deal with the way we treat others and restrain our own actions because of the desires, expectations, or rights of others, or with our obligations to them, 32

- accrual accounting, 137
- ethical analysis, 25
- internal controls, 259
- receivables, 325–326

EVA (economic value added). Used to evaluate a company's operating performance. EVA combines the concepts of accounting income and corporate finance to measure whether the company's operations have increased shareholder wealth. EVA 5 Net income 1 Interest expense – Capital charge, 728–729, 736

Exception reporting. Identifying data that is not within "normal limits" so that managers can follow up and take corrective action. Exception reporting is used in operating and cash budgets to keep company profits and cash flow in line with management's plans, 263, 298

Exchange rates, 473

Expense recognition principle, 136

Expenses by function. One alternative in presenting expenses of a company, where expenses are categorized into major functions, such as cost of sales, selling and administration expenses, and so forth, 230, 238

Expenses by nature. One alternative in presenting expenses of a company, where expenses are reported as they are (e.g. depreciation, purchases of materials, staff costs, etc.) without allocation to functional areas, 230, 238

Expenses. Decrease in equity that results from operations; the cost of doing business; opposite of revenues, 12, 32, 63, 74–75

External auditors, 217, 263

F

Factoring (selling), 293

Fair market value. The amount that a seller would receive on the sale of an investment to a willing purchaser on a given date. Securities and available-for-sale securities are valued at fair market

values on the balance sheet date. Other assets may be recorded at fair market value, 457, 483

FIFO (first-in, first-out) cost method.

Inventory costing method by which the first costs into inventory are the first costs out to cost of goods sold. Ending inventory is based on the costs of the most recent purchases, 339, 340, 341, 358

Finance lease, 532–533

Financial accounting. The branch of accounting that provides information to people outside the firm, 4, 32. *See also* Accounting

Financial assets. An asset that arises because of contractual rights to receive items of value, for example, cash, receivables, etc. and similar rights, 451, 454, 483. *See also* Asset; Investments

Financial ratios, 714–728

- current ratio, 234–235
- efficiency ratios, 716–719
- financial strength ratios, 719–721
- investment ratios, 725–727
- overview, 714–715
- profitability ratios, 722–724

Financial statement analysis

- economic value added, 728–729
- financial ratios, 714–728
- horizontal analysis, 706–708
- limitations of ratio analysis, 729
- overview, 705
- red flags, 730
- trend analysis, 709–710
- vertical analysis, 710–711

Financial statements. Business documents that report financial information about a business entity to decision makers, 2, 32. *See also* Annual reports

- accounting and, 3–8
- accrual accounting, 220
- adverse opinion, 219
- aggregation, 220–222
- auditor's report, 216–219
- common-size, 711–713
- comparative information, 223
- complete set, 219–220
- compliance with IFRS, 220
- Conceptual Framework*, 8–13
- consistency of presentation, 223
- consolidated statements, 466–471, 483
- ethics, 24–27
- evaluating business operations through, 14–22
- evaluating short-term liquidity of company, 234–235
- fair presentation, 220
- frequency of reporting, 222–223
- going concern assumption, 220
- interim reports, 223
- materiality, 222
- notes to the accounts, 223–225
- offsetting, 222
- preparing updated financial statements, 154–156

qualified opinion, 219
relationships among, 22–23
statement of changes in equity, 232–234
statement of comprehensive income, 228–231
statement of financial position, 226–228
transactions and, 68–70
unqualified opinion, 219

Financial strength ratios, 719–721
current ratio, 719–720
debt ratio, 721
quick ratio, 720, 736
times-interest-earned ratio, 721

Financing activities. Activities that obtain from investors and creditors the cash needed to launch and sustain the business; a section of the statement of cash flows, 21, 32, 535, 636, 644–646, 667

Finite lives (intangibles), 418

First-in, first-out (FIFO) cost method.
Inventory costing method by which the first costs into inventory are the first costs out to cost of goods sold. Ending inventory is based on the costs of the most recent purchases, 339, 340, 341, 358

Fixed assets, 391. *See also* PPE

Flow of accounting data, 77–82

FOB (free on board). A legal term that designates the point at which title passes for goods sold, 332, 358

Foreign currencies
accounting for transactions in, 474–476
consolidation of foreign subsidiaries, 476–478
Foreign-Currency Translation Gain/Loss account, 476
hedging, 476
overview, 473–474

Foreign-currency exchange rate. The measure of one country's currency against another country's currency, 473, 483

Foreign-currency translation adjustment. The balancing figure that brings the dollar amount of the total liabilities and shareholders' equity of the foreign subsidiary into agreement with the dollar amount of its total assets, 477, 483

Foreign subsidiaries, consolidation of, 476–478

Franchises and licenses. Privileges granted by a private business or a government to sell a product or service in accordance with specified conditions, 420, 427

Fraud. An intentional misrepresentation of facts, made for the purpose of persuading another party to act in a way that causes injury or damage to that party, 298. *See also* Cooking the books
fraud triangle, 258
fraudulent financial reporting, 257
internal controls for, 255–259
misappropriation of assets, 257

Fraud triangle. The three elements that are present in almost all cases of fraud.

These elements are pressure, opportunity, and rationalization on the part of the perpetrator, 258, 298

Fraudulent financial reporting. Fraud perpetrated by management by preparing misleading financial statements, 257, 298

Free cash flow. The amount of cash available from operations after paying for capital expenditures such as investments in PPE, 659, 667

Free on board (FOB). A legal term that designates the point at which title passes for goods sold, 332, 358

Fully depreciated assets, 414

G

GAAP (Generally Accepted Accounting Principles). Accounting guidelines, usually in reference to US standards as formulated by the Financial Accounting Standards Board, 6, 32, 531

Gains. Usually separated from revenues. Part of income and result in an increase in equity, 12, 32, 457

Gearing. A measure of indebtedness of an entity, also known as leverage, typically measured by the proportion of assets financed by liabilities (or alternatively only interestbearing liabilities), 721, 736

General ledger account, 221–222

Generally Accepted Accounting Principles (GAAP). Accounting guidelines, usually in reference to US standards as formulated by the Financial Accounting Standards Board, 6, 32, 531

General purpose financial statements. The common set of financial statements prepared for all users of financial statements, 8, 32

Going concern. An assumption that an entity will remain in operation for the foreseeable future, 11, 32, 220

Goods and Services Tax (GST), 508

Goodwill. Excess of the cost of an acquired company over the sum of the market values of its net assets (assets minus liabilities), 420–421, 427, 469

Government regulation, 571

Gross profit (gross margin). Sales revenue minus cost of goods sold, 332, 341–342, 358

Gross profit margin. The amount of gross profit earned from each currency unit of sales, 736

Gross profit method. A way to estimate inventory based on a rearrangement of the cost-of-goods-sold model:
Beginning inventory + Net purchases =
Goods available – Cost of goods sold =
Ending inventory, 358

Gross profit percentage. Gross profit divided by net sales revenue. Also called the *gross margin percentage*, 349–350, 358

Growth investors, 727

GST (Goods and Services Tax), 508

H

Hedging. To protect oneself from losing money in one transaction by engaging in a counterbalancing transaction, 476, 483

Held-to-maturity investments. Bonds and notes that an investor intends to hold until maturity, 455, 458–460, 483

Horizontal analysis. Study of percentage changes in comparative financial statements, 706–708, 736

Human resources (HR) department, 264

I

IASB (International Accounting Standards Board), 6–7, 345, 531

IFRS (International Financial Reporting Standards). Accounting guidelines, formulated by the International Accounting Standards Board (IASB), 6–7, 32, 220, 531

Impairment. The condition that exists when the carrying amount of an asset exceeds its recoverable amount, 412–413, 422, 427

Imprest system, 269

Incidental transactions, 222

Income. Increases in equity from revenue and gains, 11–12, 32, 74–75

Income of consolidated entity, 470

Income statement. A financial statement listing an entity's revenues, expenses, and net income or net loss for a specific period. Part of the Statement of Comprehensive Income, 12, 15–16, 32

Income taxes, computing payments of, 656

Indirect method. Format of the operating activities section of the statement of cash flows; starts with net income and reconciles to cash flows from operating activities, 637, 639–642, 667

Infinite lives (intangibles), 418

Information technology (IT), 264–265

Intangible assets. A non-monetary asset with no physical form that conveys future economic benefits to the entity, 392

copyrights, 420

franchises, 420

goodwill, 420–421

impairment of, 422

licenses, 420

overview, 418–419

patents, 419

research and development (R&D), 421–422

trademarks, 420

trademarks/trade names, 420

Integrated reporting, 210

Interest

bonds, 518

on bonds issued at discount, 522–525

on bonds issued at premium, 525–528

on bonds payable, 521–522

Interest (*continued*)

- computing payments of, 656
- defined, 290
- partial-period interest amounts, 528

Interest-coverage ratio. Another name for the times-interest-earned ratio, 537, 543, 721, 736

Interim reports. Quarterly or half-yearly financial reports that are usually not audited and are less detailed than an annual report, 223, 238

Internal auditors, 263

Internal controls

- adequate records, 263
- bank reconciliation, 269–275
- comparisons, 263
- compliance monitoring, 263
- defined, 259–260
- e-commerce, 265
- ethics, 259
- fraud, 255–259
- information technology, 264–265
- limitations of, 265
- limiting access to assets, 263–264
- online banking, 275–277
- over cash payments, 267–269
- over cash receipts, 266–267
- over collections on account, 281
- procedures, 262–265
- proper approvals, 264
- reporting cash on balance sheet, 278
- Sarbanes-Oxley Act of 2002, 260–261
- separation of duties, 262–263
- smart hiring practices, 262

International Accounting Standards Board (IASB), 6–7, 345, 531

International Financial Reporting

Standards (IFRS). Accounting guidelines, formulated by the International Accounting Standards Board (IASB), 6–7, 32, 220, 531

International operations, 473–478

Inventory costing methods. Cost

- assumptions used in the measurement of inventory and cost of goods sold when goods are ordinarily interchangeable. Also called *cost formulas*, 358
- FIFO method, 339, 340, 341
- LIFO method, 339, 340, 341
- overview, 337–338
- specific identification method, 338–339
- weighted-average cost method, 339–341, 356

Inventory resident period. The average number of days to sell inventory to customers, calculated by dividing 365 by inventory turnover. Also called days *inventory on hand*, 351, 358, 716, 736

Inventory. The merchandise that a company holds for sale to customers, 32, 61, 358

- basic inventory principle, 333
- comparability qualitative characteristic, 345
- cooking the books, 348–349
- cost of, 333, 334
- cost per unit of inventory, 333
- defined, 330

- effects of errors, 347–348
- gross profit percentage ratio, 349–350
- inventory costing methods, 337–342
- inventory errors, 347–348
- inventory turnover ratio, 350–351
- net realizable value, 345–347
- number of units of hand, 332
- overview, 330–332
- periodic inventory system, 334
- perpetual inventory system, 334–337
- recording sales, 336–337
- sale price of, 332

Inventory turnover ratio. Ratio of cost of goods sold to average inventory. Indicates how rapidly inventory is sold. Can also be expressed in days (inventory resident period), 350–351, 358, 716, 736

Investees, 451

Investing activities. Activities that increase or decrease the long-term assets available to the business; a section of the statement of cash flows, 21, 32, 636, 642–644, 667

Investment ratios, 725–727

- book value per ordinary share, 727
- dividend yield, 726–727
- earnings per share, 725–726
- price/earnings ratio, 726

Investments

- accounting treatment, 463
- available-for-sale investments, 460–462
- categories of, 453–463
- consolidated financial statements, 466–471
- cooking the books, 471–472
- equity-method investments, 463–466
- evaluating company performance, 478–479
- held-to-maturity investments, 458–460
- impact on statement of cash flows, 478
- investment properties, 393
- noncash, 648
- overview, 451–452
- reporting on balance sheet, 452–453
- trading securities, 455–458

Investors

- defined, 451
- growth, 727
- value, 727

Issued shares. Number of shares a corporation has issued to its shareholders, 582, 599

IT (information technology), 264–265

J

Journalizing. The chronological accounting record of an entity's transactions, 76, 93, 275

L

Land and land improvements, 394–395

Last-in, first-out (LIFO) cost method.

Inventory costing method by which the last costs into inventory are the first

costs out to cost of goods sold. This method leaves the oldest costs—those of beginning inventory and the earliest purchases of the period—in ending inventory, 339, 340, 341, 345, 358

Leases

- capital, 532–533, 543
- defined, 530
- lessees, 530, 534–535, 543
- operating, 531–532, 543

Ledger. The book of accounts and their balances, 76, 93

Lenders (creditors), 290

Lessee. Tenant or recipient of the leased asset in a lease agreement, 530, 534–535, 543

Lessor. Property owner of the leased asset in a lease agreement, 530, 543

Leverage. Using borrowed funds to increase the return on equity. Successful use of leverage means earning more income on borrowed money than the related interest expense, thereby increasing the earnings for the owners of the business. Also called *trading on the equity*, 536, 543, 736

Liability. A present obligation of an entity arising from past events, the settlement of which is expected to result in an outflow from the entity of resources embodying economic benefits, 11, 32

- accounts payable, 505
- Accounts Payable account, 62
- accrued, 62, 93, 505–506, 543
- bonds, 516–530
- contingent, 512–513
- cooking the books, 514
- current, 20, 31, 226–227, 238, 640–641
- debt as, 512
- debt ratio, 536–537
- deferral adjustments, 142
- deposits, 506
- effect of equity transactions on, 590
- ethical issues, 566
- financing operations, 535
- leases, 530–535
- limited, 570, 599
- non-current, 20, 226–227
- notes payable, 511–512
- Notes Payable account, 62
- payroll-related (employee compensation), 507–508
- provisions, 509–511
- reporting on balance sheet, 513–514
- reporting on statement of cash flows, 538
- sales tax payable, 508–509
- Statement of Financial Position (Balance Sheet), 20
- tax payable, 509
- times-interest-earned ratio, 537–538
- transactions, 62
- unearned revenues (deferred income; revenue collected in advance), 506–507

LIFO (last-in, first-out) cost method.

Inventory costing method by which the

last costs into inventory are the first costs out to cost of goods sold. This method leaves the oldest costs—those of beginning inventory and the earliest purchases of the period—in ending inventory, 339, 340, 341, 345, 358

Limited liability. No personal obligation of a shareholder for corporation debts. A shareholder can lose no more on an investment in a corporation's share than the cost of the investment, 570, 599

Liquidation value. The amount a corporation must pay a preference shareholder in the event the company liquidates and goes out of business, after settling liabilities, 591, 599

Liquidity. A measure of an entity's ability to convert an asset to cash (if it is not already cash) or settle an obligation. Typically grouped into current and non-current assets and liabilities, 226–227, 234–235, 238

Liquidity ratios. Financial strength ratios that focus on short-term obligations, typically current liabilities, 719, 736

Listing requirements (stock exchange). The rules stipulated by a stock exchange for all listed companies, 212, 238

Loans, computing cash flows from, 643–644

Lock-box system, 263–264

Long-term assets, 19–20, 640. *See also* PPE

asset turnover ratio, 423–424

intangible assets, 392

liquidity and, 226–227

non-current assets, 392–393

PPE, 391

reporting on statement of cash flows, 422–423

return on assets ratio, 423–424

Long-term debt, 644–645

Long-term investments. Any investment that does not meet the criteria of a short-term investment; any investment that the investor expects to hold longer than a year or that is not readily marketable, 452, 483

Long-term receivables, 290

Losses. Usually separated from expenses; result in a reduction in equity, 12, 32, 457–458

Lump-sum purchase of assets, 396

M

Machinery, cost of, 395

Majority interest. Ownership of more than 50% of an investee company's voting shares, 466, 483

Makers of note, 290, 298

Management accounting. The branch of accounting that generates information for the internal decision makers of a business, such as top executives, 4, 32
Management Discussions and Analysis (MD&A), 214

Margin percentage (gross profit percentage). Gross profit divided by net sales revenue. Also called the *gross margin percentage*, 349–350, 358

Margin-related ratios, 723

Market capitalization. A measure of the size of a listed company, equal to the share price multiplied by the number of shares outstanding, 591, 600

Market interest rate (effective interest rate), 518–519

Market price (market value). Price for which a person could buy or sell a share, 591, 600

Matching concept. A concept for matching expenses to revenue. Directs accountants to identify all expenses incurred during the period, to measure the expenses, and to match them against the revenues earned during that same period, 136–137, 164–165

Materiality. The importance or significance of information that may change the user's final assessment of a situation, 10, 32, 222, 238

Maturity date (bonds), 290, 517

Maturity value (bonds), 290

MD&A (Management Discussions and Analysis), 214

Merchandising inventory. *See* Inventory
Misappropriation of assets, 257

N

Natural resources, 417–418

Net assets. *See* Equity

Net income (net profit). Excess of total revenues over total expenses. Also called *net earnings* or *net profit*, 32, 635, 640

Net loss. Excess of total expenses over total revenues, 13, 32

Net profit margin. The amount of net profit earned from each currency unit of sales. Also called *return on sales*, 479, 483, 736

Net realizable value (NRV). The estimated selling price in the ordinary course of business less the estimated costs of completion and the estimated costs necessary to make the sale, 345–347, 358

Noncash investing, 648

Non-controlling interest. A subsidiary company's equity that is held by shareholders other than the parent company (i.e., less than 50%), 469–470, 483

Non-current assets, 19–20. *See also* PPE

asset turnover ratio, 423–424

intangible assets, 392

liquidity and, 226–227

non-current assets, 392–393

PPE, 391

reporting on statement of cash flows, 422–423

return on assets ratio, 423–424

Non-current liabilities, 20, 226–227

Non-monetary assets, 392

Non-monetary exchanges, 416

No-par shares, 574

Normal balance of account, 86

Notes payable, 62, 511–512

Notes receivable, 61, 281, 290–292

Notes to the accounts (financial statements), 223–225

NRV (net realizable value). The estimated selling price in the ordinary course of business less the estimated costs of completion and the estimated costs necessary to make the sale, 345–347, 358

Number of units of inventory, 332

O

Offsetting (financial statements), 222

OFR (Operating and Financial Review), 214

Online banking, 275–277

Operating activities. Activities that create revenue or expense in the entity's major line of business; a section of the statement of cash flows. Operating activities affect the income statement, 21, 32, 667

direct method, 638, 651–656

evaluating cash flows from, 642

indirect method, 637, 639–642

overview, 635–636

Operating and Financial Review (OFR), 214

Operating budget, 263

Operating expenses, computing payments for, 654–655

Operating lease. A lease in which the lessee does not assume the risks or rewards of asset ownership, 531–532, 543

Operating profit margin. The amount of operating profit earned from each currency unit of sales, 723, 736

Ordinary shares. The most basic form of capital shares. The ordinary shareholders own a corporation, 574, 577–579, 600

above par, 577

book value, 579

book value per ordinary share, 727

issued for assets other than cash, 578–580

no-par, 574, 578

at par, 577

for services, 579

Other comprehensive income, 461–462

Outstanding share. Share in the hands of shareholders calculated as issued shares less treasury shares, if any, 582, 600

Owners equity. *See* Shareholders' equity

P

Paid-in capital. The amount of shareholders' equity that shareholders have contributed to the corporation. Also called *contributed capital* or *share capital*, 20, 32, 572, 599, 600

Parent company. An investor company that owns more than 50% of the voting shares of a subsidiary company, 466, 483
 Partial-period interest amounts, 528

Partnership. An association of two or more persons who co-own a business for profit, 5, 32

Par value (of shares). Arbitrary amount assigned by a company to a share, 519–520, 574, 600

Patent. A government grant giving the holder the exclusive right for a certain number of years to produce and sell an invention, 419, 427

Payable outstanding period. The average length of time (in days) to pay account payables, based on payable turnover. Part of cash conversion cycle, 717, 736

Payable turnover. Ratio of cost of goods sold to average payables. Indicates how quickly trade creditors are paid. Can also be expressed in days (payables outstanding period), 717, 736

Payroll. Employee compensation, a major expense of many businesses, 507–508, 543

P/E (price/earnings) ratio. Ratio of the market price of an ordinary share to the company's earnings per share. Measures the value that the share market places on one currency unit of a company's earnings, 726, 736

Pension. Employee compensation that will be paid during the employee's retirement, 508, 543

Periodic inventory system. An inventory system in which the business does not keep a continuous record of the inventory on hand. Instead, at the end of the period, the business makes a physical count of the inventory on hand and applies the appropriate unit costs to determine the cost of the ending inventory, 334, 358, 382–383

Permanent accounts. Asset, liability, and shareholders' equity accounts that are not closed at the end of the period, 156–157, 165

Perpetual inventory system. An inventory system in which the business keeps a continuous record for each inventory item to show the inventory on hand at all times, 334–337, 357

Petty cash, 269

Phishing, 265

Point-of-sale terminals, 266–267

Post-employment benefits, 508

Posting. Copying amounts from the journal to the respective ledger accounts, 76–77, 93

PPE (property, plant and equipment). Assets that are expected to be used for more than one period for the purposes of production or supply of goods or services or for administrative purposes, 32, 61, 93, 165, 428
 buildings, 395

carrying amount, 151
 computing purchases and sales of, 642–643
 depreciation, 149–152, 399–406, 408–412
 equipment, 395
 exchanging, 416–417
 fully depreciated assets, 414
 impairment of, 412–413
 land and land improvements, 394–395
 lump-sum purchase of assets, 396
 machinery, 395
 measurement on initial recognition, 393–394
 measurement subsequent to initial recognition, 413
 natural resources, 417–418
 overview, 19
 selling, 415–416
 subsequent costs, 397–399
 types of, 391

Preference share. Share that gives its owners certain advantages, such as the priority to receive dividends before the ordinary shareholders and the priority to receive assets before the ordinary shareholders if the corporation liquidates, 574, 580–581, 600

Premium (on a bond). Excess of a bond's issue price over its face (par) value, 516, 525–528, 543

Prepaid expenses. Paying expenses in advance before actual consumption. Also called *prepayments*, 61, 93, 143–145, 165

Present value. Amount a person would invest now to receive a greater amount at a future date, 517, 543

Price/earnings (P/E) ratio. Ratio of the market price of an ordinary share to the company's earnings per share. Measures the value that the share market places on one currency unit of a company's earnings, 726, 736

Principal. The amount of money borrowed by the debtor, 290, 291

Prior-period errors. Errors arising from arithmetic mistakes, mistakes in applying accounting policies, oversights or misinterpretations of facts, and fraud, that are discovered in a subsequent accounting period, 233, 238

Profitability ratios, 722–724
 margin-related ratios, 723
 overview, 722
 return on equity, 723–724
 return on total assets, 723

Promissory notes, 281, 290

Proper approvals (internal controls), 264

Property, plant and equipment. *See* PPE

Proprietorship. A business with a single owner, 5, 32

Provisions, as liabilities, 509–511

Purchase allowance. A decrease in the cost of purchases because the seller has granted the buyer a subtraction (an allowance) from the amount owed, 336, 358

Purchase discount. A decrease in the cost of purchases earned by making an early payment to the vendor, 335, 358

Purchase return. decrease in the cost of purchases because the buyer returned the goods to the seller, 336, 358

Purchasing department, 264

Q

Qualified opinion. An auditor's opinion that the financial statements, as a whole, fairly represent the financial position and performance of the audited entity, with exception in one or two areas, 219, 238

Qualitative characteristics. The attributes that are most likely to make the information provided in financial statements useful to users, 9–11, 32

Quick ratio. Ratio of the sum of cash plus short-term investments plus net current receivables to total current liabilities. Tells whether the entity can pay all its current liabilities if they come due immediately. Also called the *acid-test ratio*, 720, 736

R

R&D (research and development), 421–422

Ratio analysis, limitations of, 729

Realized gains, 458

Realized losses, 458

Receivable collection period. The average length of time (in days) to collect receivables, based on receivable turnover. Part of cash conversion cycle, 294, 716, 717, 736

Receivables

allowance method, 283–288
 computing, 289–290
 direct write-off method, 288–289
 improving cash flow, 292–293
 internal controls, 281
 notes receivable, 290–292
 receivable collection period, 294, 716, 717, 736
 receivables turnover, 294
 selling, 293
 selling on credit, 282
 types of, 280–281
 uncollectible, 283

Recoverable amount. The higher of fair value less cost to sell and value in use. Used in impairment tests, 412, 428

Redeemable preference shares. A corporation reserves the right to buy an issue of shares back from its shareholders, with the intent to retire the share, 574, 600

Redemption value. The price a corporation agrees to eventually pay for its redeemable preference shares, set when the share is issued, 591, 600

Red flags, in financial statement analysis, 730

Relative-sales-value method, 396

Remittance advice, 270

Rent, prepaid, 143–144

Report format. A balance-sheet format that lists assets at the top, followed by liabilities and shareholders' equity below, 227, 238

Reporting entity. An organization or a section of an organization that, for accounting purposes, stands apart from other organizations and individuals as a separate economic unit, 4, 32

Report to the Nations on Occupational Fraud and Abuse report, 257

Research and development (R&D), 421–422

Residual value, 401, 410–411, 427

Retained earnings. The amount of shareholders' equity that the corporation has earned through profitable operation that has been retained in the business (not distributed back to shareholders), 11, 13, 32, 572, 600

Retired shares, 585

Return on assets (ROA). A measure of the level of returns or profit generated from assets. *Also known as return on total assets*, 423–424, 428, 737

Return on equity (ROE). Net income minus preference dividends, divided by average ordinary shareholders' equity. A measure of profitability, 594–595, 600, 723–724

Return on ordinary shareholders' equity. Net income minus preference dividends, divided by average ordinary shareholders' equity. A measure of profitability. *Also called return on equity (ROE)*, 723, 736

Return on sales. Another name for *net profit margin*, 723, 737

Revaluation model (PPE), 413

Revenue collected in advance, 145–146, 506–507

Revenue recognition principle. The basis for recording and measurement of revenues; tells accountants when to record revenue and the amount of revenue to record, 134–135, 165

Revenues. Increase in retained earnings from delivering goods or services to customers or clients, 12, 32
net loss, 13, 32
net profit, 32, 635, 640
unearned, 145–146, 165, 506–507

ROA (return on assets). A measure of the level of returns or profit generated from assets. *Also known as return on total assets*, 423–424, 428, 594–595, 600, 723–724, 737

S

Salary expense, 507

Sale price of inventory, 332

Sales tax payable, 508–509

Salvage value, 401, 410–411, 427

Sarbanes-Oxley Act (SOX) of 2002, 260–261

Scrap value, 401, 410–411, 427

Securities and Exchange Commission (SEC)

forms, 212

fraud schemes, 137–138

reporting repository, 212

Security for loan, 281

Selling (factoring), 293

Separation of duties, 262–263

Serial bonds. Bonds that mature in installments over a period of time, 516, 543

Settlement discount, recording, 337

Share capital. Proof of ownership in a company. Amount invested by owners into the business through share ownership, 11, 32

Share capital. The amount of shareholders' equity that shareholders have contributed to the corporation. *Also called contributed capital or paid-in capital*, 20, 32, 572, 599, 600

Share certificates, 573

Share dividend. proportional distribution by a corporation of its own shares to its shareholders, 600. *See also* Dividends

Shareholder. A person who owns shares in a corporation, 5, 32, 570, 572, 600

Shareholders' equity. The shareholders' ownership interest in the assets of a corporation, 572, 600. *See also* Corporation

balance sheet, 20–21

earnings per share, 593–594

effect of equity transactions on, 590

expenses, 74–75

income, 74–75

return on equity, 594–595

transactions, 74–75

Shareholders' rights, 571

Shares. Share into which the owners' equity of a corporation is divided, 600

authorized, 582, 599

book value, 591–592

issued, 582, 599

liquidation value, 591

market value, 591

no-par, 574, 578

ordinary, 574, 577–579

outstanding, 582, 600

par value, 574

preference, 574, 580–581

redeemable preference, 574

redemption value, 591

treasury, 583–585

value of, 591–593

Shipping terms, 332, 358

Short-term investments. Investment that a company plans to hold for 1 year or less. Usually in the form of marketable securities, 452, 483

Short-term notes payable. Note payable due within one year, 511, 543

Signature card, 270

SL (straight-line) method. Depreciation method in which an equal amount of depreciation expense is assigned to each year of asset use, 402, 428, 529

Slide accounting error, 84–85

Smart hiring practices, 262

Solvency ratios. Financial strength ratios that focus on both short and long-term obligations, 719, 737

SOX (Sarbanes-Oxley Act) of 2002, 260–261

Specific identification method

(inventory). When goods are ordinarily not interchangeable, cost of goods sold and on-hand are determined by specifically identifying which units have been sold and which units remain on-hand, respectively, 338–339, 358

Stated interest rate. Interest rate that determines the amount of cash interest the borrower pays and the investor receives each year, 518, 543

Statement of cash flows. Reports cash receipts and cash payments classified according to the entity's major activities: operating, investing, and financing, 21, 32, 633, 667

cash equivalents, 633

completing, 647–648

reporting dividends on, 593

reporting issuance of shares on, 592

reporting liabilities on, 538

reporting long-term assets on, 422–423

reporting treasury shares on, 593

Statement of changes in equity. Provides a reconciliation of the movement of equity items during a financial period. Affected share issuance, share cancellation, net income (or net loss) and dividends paid, 17–18, 32, 232–234

Statement of comprehensive income. Net profit (loss) for the period plus other comprehensive income, 15, 32, 228–231

Statement of financial position. Another name for balance sheet, 32, 226–228. *See also* Balance sheet

Stock split. An increase in the number of authorized, issued, and outstanding shares coupled with a proportionate reduction in the share's par value and market price per share, 589–590, 600

Straight-line (SL) method. Depreciation method in which an equal amount of depreciation expense is assigned to each year of asset use, 402, 428, 529

Strong currency. A currency whose exchange rate is rising relative to other nations' currencies, 473, 483

Subsequent costs (PPE), 397–399

Subsidiary. An investee company in which a parent company owns more than 50% of the voting shares, 466, 476–478, 483

Subsidiary ledger accounts, 221, 280–281

Suppliers, computing payments to, 654

Supplies, prepaid, 144–145

T

T-Accounts

- for analyzing PPE transactions, 417
- analyzing transactions using, 87
- transactions, 73

Tangible assets, 391. *See also* PPE

Taxation

- corporation, 571
- EBIT, 723
- GST, 508
- income taxes, 656
- tax payable, 509
- VAT, 508

Temporary accounts. The revenue and expense accounts that relate to a limited period and are closed at the end of the period are temporary accounts. For a corporation, the Dividends account is also temporary, 156, 165

Term (notes receivable), 290

Term bonds. Bonds that all mature at the same time for a particular issue, 516, 543

Time-period concept. Ensures that accounting information is reported at regular intervals, 133, 165

Times-interest-earned ratio. Ratio of income from operations to interest expense. Measures the number of times that operating income can cover interest expense. Also called the *interest-coverage ratio*, 537–538, 543, 721, 737

Time value of money, 517–518

Trademarks/trade names. distinctive identification of a product or service. Also called a *brand name*, 420, 428

Trade receivables. *See also* Receivables

Trading on the equity. Earning more income on borrowed money than the related interest expense, thereby increasing the earnings for the owners of the business. Also called *leverage*, 536, 543

Trading securities. Investments in financial assets that are primarily for the purpose of trading, with the intent of generating profits on the sale., 455–458, 483

Transaction. Any event that has a financial impact on the business and can be measured reliably, 60, 93

- account formats, 86
- accounting equation, 73–74

- analyzing accounts, 83–84
- analyzing with T-Accounts, 87
- assets, 61
- chart of accounts, 85
- correcting accounting errors, 84–85
- double-entry accounting, 72
- equity, 62–63
- financial statements and, 68–70
- flow of accounting data, 77–82
- foreign currency, 474
- impact on accounts, 63–67
- journalizing, 76
- liabilities, 62
- normal balance of account, 86
- posting, 76–77
- PPE, 417
- Rules of Debit and Credit account, 73
- Shareholders' Equity Accounts, 74–75
- T-Accounts, 73
- trial balance, 83

Transferability of ownership, 570

Transposition accounting error, 85

Treasury share. A corporation's own share that it has issued and later reacquired, 583–585, 600

- computing purchases and sales of, 645
- issuing as compensation, 585
- recording, 583–584
- reporting on statement of cash flows, 593
- resale of, 584–585
- retiring, 585

Trend percentages. A form of horizontal analysis that indicates the direction a business is taking, 709, 737

Trial balance. A list of all the ledger accounts with their balances, 83, 93

Trojan horses, 265

U

Uncollectible receivables, 282, 283

- aging-of-receivables method, 284
- writing off, 287–288

Underwriter. Organization that purchases the bonds from an issuing company and resells them to its clients or sells the bonds for a commission, agreeing to buy all unsold bonds, 516, 543

Unearned revenue. A liability created when a business collects cash from

customers in advance of earning the revenue. The obligation is to provide a product or a service in the future, 145–146, 165, 506–507

Units-of-production (UOP) method.

Depreciation method by which a fixed amount of depreciation is assigned to each unit of output produced by the PPE, 403, 428

Unqualified opinion. An auditor's opinion that the financial statements fairly represent the financial position and performance of the audited entity, 219, 238

Unrealized gains, 457

Unrealized losses, 457

UOP (units-of-production) method.

Depreciation method by which a fixed amount of depreciation is assigned to each unit of output produced by the PPE, 403, 428

V

Value-Added Tax (VAT), 508

Value investors, 727

Vertical analysis. Analysis of a financial statement that reveals the relationship of each statement item to a specified base, which is the 100% figure, 710–711, 737

Voting rights (shareholders), 575

W

Weak currency. A currency whose exchange rate is falling relative to that of other nations, 473, 483

Weighted-average cost method. Inventory costing method based on the average cost of inventory during the period. Average cost is determined by dividing the cost of goods available by the number of units available. Also called the *average cost method*, 339–341, 356

WIP (work-in-progress) inventory, 330

Working capital. Current assets minus current liabilities; measures a business's ability to meet its short-term obligations with its current assets, 719, 737

Work-in-progress (WIP) inventory, 330